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[GS III - ENVIRONMENT AND SCIENCE AND TECHNOLOGY] | **Publication Date: 09/10/2026**

CAFE-III Norms 2027–2032: New Fuel Efficiency Rules for Cars, EV Benefits, Emission Targets & Impact on Automakers

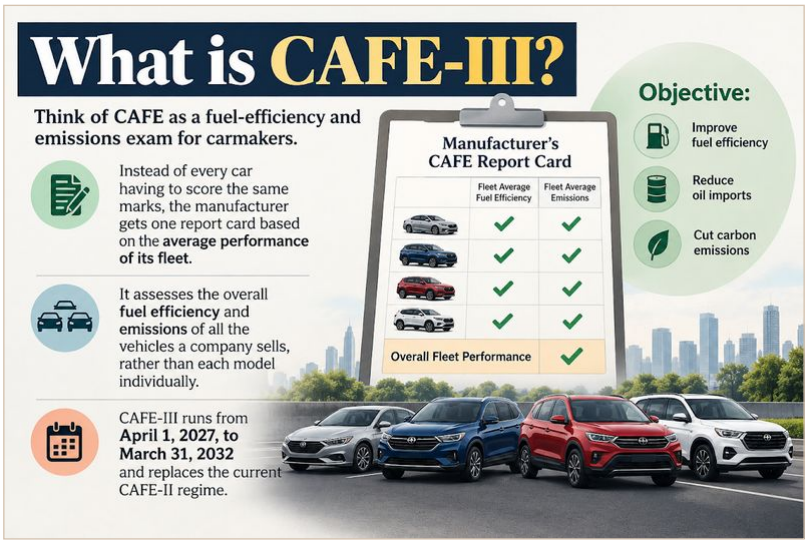


> *CAFE-III norms introduce stricter fuel-efficiency targets, revised weight-based standards, EV and hybrid incentives, tradable credits, and compliance mechanisms to reduce emissions.*

Syllabus Areas:

GS III - Environment and Science and Technology

The Centre notified CAFE-III norms after deliberations since April 2024, replacing the proposed special concession for petrol cars below 909 kg with a weight-based formula. The September 2025 draft proposed a 3 g/km CO , concession for cars weighing up to 909 kg with engine capacity up to 1,200 cc, favouring Maruti Suzuki and drawing opposition from Tata, Mahindra and other automakers.



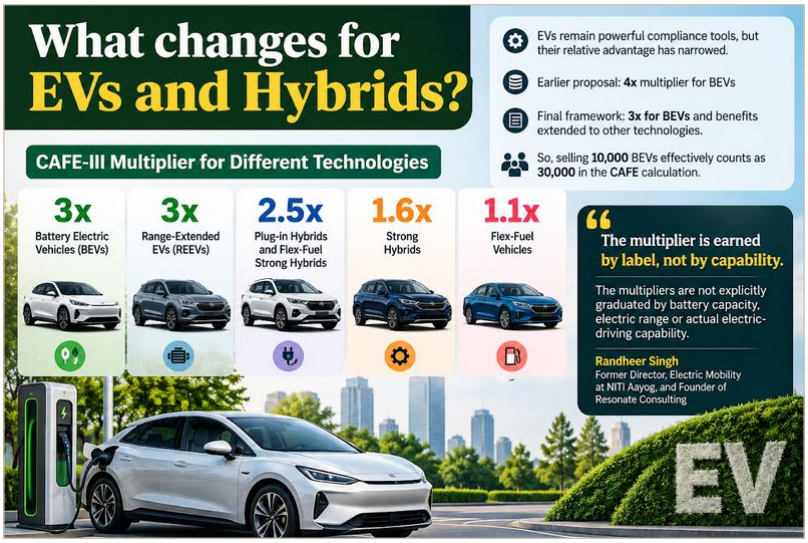
What if a carmaker misses its target?

- Two Compliance Blocks: CAFE-III introduces two blocks of three years and two years.
- Deficit Adjustment: A shortfall in one year can be offset by surplus performance within the same compliance block.
- Tradable Credits: Better-performing manufacturers can sell surplus credits to those failing to meet targets.

- BEE Credit Purchases: Manufacturers can purchase credits from the Bureau of Energy Efficiency (BEE) to offset debit balances.
- Credit Prices: Rs. 2,500–Rs. 4,500 per g/km, varying by financial year.

Will the car I buy after April 1, 2027 be much more fuel-efficient?

- CAFE-III aims to improve fuel efficiency, but does not guarantee higher mileage for every new car.
- Fuel-efficiency targets: Tighten from 3.996 litres/100 km in 2027–28 to 3.3273 litres/100 km by 2031–32.
- Expected improvement: 16.7% over five years, equivalent to approximately 25 km/litre to 30 km/litre.

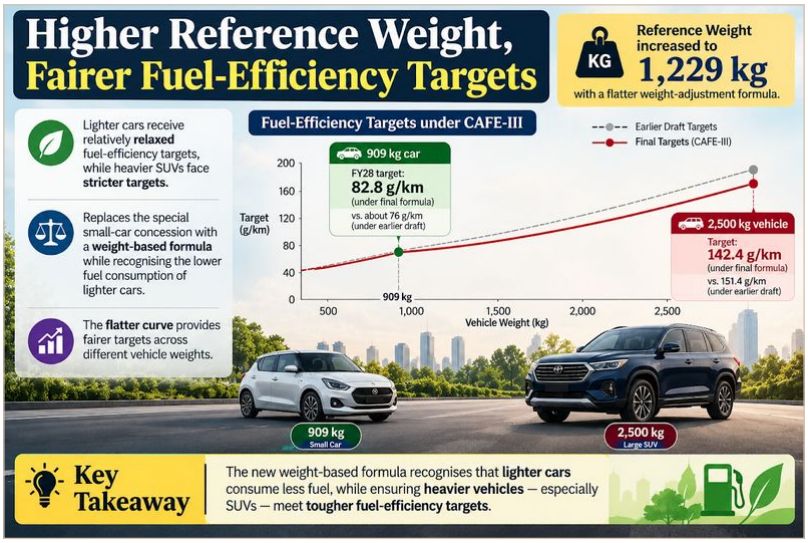


Where do ethanol and CNG fit?

- They now provide additional compliance routes.
- The framework recognises ethanol-blended petrol, biofuels and CBG through Carbon Neutrality Factors, while the number of recognised fuel-conservation technologies expands from four to 12.

What is the big change for small cars?

- Special concession removed: Cars weighing below 909 kg no longer receive the 3 g CO ,/km concession.
- Revised formula: Changes the slope used to calculate fuel-efficiency targets.
- Target change: For the example cited, the target increases from 54.1 g/km to 63.7 g/km, providing nearly 18% more headroom.
- Lighter cars: Receive relatively relaxed targets, benefiting small-car-focused manufacturers such as Maruti Suzuki, Renault and Nissan.
- Heavier SUVs: Face greater pressure to improve fuel efficiency.



- CAFE-III drops small-car carve-out, adopts weight-based targets
- Revised formula eases compliance for lighter fleets
- Heavier SUVs face progressively stricter emissions targets
- EVs, hybrids receive generous compliance multipliers
- Implementation: CAFE-III norms take effect from 1 April 2027 and remain applicable until 31 March 2032.
- Applicability: The norms cover new passenger vehicles manufactured or imported for sale in India.
- The objective of CAFE-III norms is straightforward: reduce fuel consumption, lower oil imports and cut carbon emissions from the country's rapidly growing vehicle fleet.